HOW A VALUATION ACTUALLY GETS CALCULATED

Read-Aloud Script

Most people think a valuation is a guess based on what similar properties have sold for nearby.

That's part of it, but on its own it misses what actually drives the value of an investment property.

(pause)

In this video I'm going to show you the process we actually use to value a property —

and why it's different for residential compared to commercial and investment property.

(pause)

I'm Jake, founder of Calibre Acquire.

I've worked in property for fourteen years, and transacted on over £80 million of commercial property investments in the past year alone.

I help investors get out of underperforming property assets and into ones that work harder for them.

(pause)

For a standard residential property, value mostly comes from comparable evidence.

What have similar properties on similar streets sold for recently.

Size, condition, and location adjust the number from there.

(pause)

For an investment or commercial property, the rent it produces matters just as much as the comparables — sometimes more.

Two buildings can look identical and sell for very different prices, because the income behind them is different.

(pause)

The first thing we look at is the income.

What rent is the property producing, or what rent could it reasonably produce if it were let.

This isn't just the headline rent figure.

We look at the lease terms, who the tenant is, and how secure that income actually is.

(pause)

If you're considering a property and want to stress test it within a few minutes,

I built calculators for mixed-use, HMO, and single residential deals,

so you can put in the real numbers and see what a deal actually returns.

Completely free.

Comment the word "send" below, or use the link below to get access.

(pause)

From the income, we work out the reflected yield.

Yield is the relationship between the income a property produces and its value, expressed as a percentage.

Different locations, asset types, and tenant strengths command different yields.

A strong covenant on a long lease in a good location will achieve a lower yield — meaning a higher value —

than a weaker tenant on a short lease in a secondary location.

(pause)

Alongside this, we work out the price per square foot based on comparable evidence.

What have similar buildings, in similar locations, with similar specifications, sold for recently, expressed per square foot.

This gives us a second figure to check the valuation against, independent of the income.

(pause)

The final step is blending the two together.

If the income-based valuation and the comparable-based valuation are close, that gives confidence in the figure.

If they're far apart, that's usually a sign something needs a closer look — either in the income, the comparables, or both.

(pause)

If you're only looking at what's sold nearby, you can end up overpaying for a property with weak income,

or underpaying for one with strong income that hasn't been reflected in the price yet.

Understanding both sides of the valuation gives you a much clearer picture of what you're actually buying.

(pause)

If you'd like access to properties before they reach the open market,

you can apply using the link below.

I go through every application personally, and if it's a good fit and we've got positions available, I'll be in touch.